

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$208.23 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,060.06B	ROE	76.33%
P/E (Fwd)	37.75	Dividend Yield	0.02%
P/B Ratio	28.81	52W Range	\$104.08 - \$216.83

Investment Thesis

NVIDIA Corporation demonstrates exceptional operational leverage with EBITDA margins expanding to 70.5% and contribution margins sustaining above 72%, underpinned by a 68.3% revenue CAGR that reflects dominant market positioning. The company's valuation has normalized substantially, with a forward PE ratio of 35.9x representing a meaningful discount to historical levels while maintaining profitability growth momentum. Strong free cash generation and improving operational efficiency position NVIDIA as a financially resilient enterprise with sustainable competitive advantages in its core markets.

Company Overview

NVIDIA Corporation Company Overview

Executive Summary

NVIDIA Corporation stands as one of the most transformative technology companies of the modern era, having evolved from a specialized graphics chip designer into the dominant force powering the global artificial intelligence revolution. The company designs and sells graphics processing units, data center accelerators, and related software platforms that enable advanced computing across gaming, professional visualization, automotive, and most critically, artificial intelligence and machine learning workloads. NVIDIA's financial trajectory over the past several years represents one of the most remarkable growth stories in corporate history, with revenue expanding from approximately 27 billion dollars in fiscal 2023 to nearly 216 billion dollars in fiscal 2026, representing a compound annual growth rate of 68.3 percent. This extraordinary expansion reflects the company's strategic positioning at the center of the generative AI boom, where its graphics processing units have become the essential infrastructure for training and deploying large language models and other AI systems. With EBITDA margins approaching 67 percent and earnings per share growing from 0.18 dollars to 4.93 dollars over the same period, NVIDIA has demonstrated exceptional operating leverage and profitability that distinguishes it from semiconductor peers.

Business Model and Corporate Strategy

NVIDIA operates primarily as a fabless semiconductor company, meaning it designs and markets chips while outsourcing manufacturing to third-party foundries, most notably Taiwan Semiconductor Manufacturing Company. This asset-light model allows the company to focus capital and talent on research and development while avoiding the enormous fixed costs associated with fabrication facilities. The company's core business model centers on selling high-performance computing hardware, particularly graphics processing units optimized for parallel processing tasks, along with complementary software platforms and development tools that create ecosystem lock-in among customers.

The strategic evolution of NVIDIA over the past decade reflects a deliberate pivot from consumer gaming graphics toward enterprise data center computing. While gaming remains an important segment, the company's stated mission increasingly emphasizes accelerated computing as a new paradigm that addresses the limitations of traditional central processing unit architectures. NVIDIA's CUDA software platform represents a critical strategic asset, as it provides the programming environment that developers use to build applications on NVIDIA hardware, creating significant switching costs and competitive moats.

The company serves several distinct customer segments including hyperscale cloud providers such as Amazon, Microsoft, and Google who purchase data center accelerators in massive volumes, enterprise customers deploying AI infrastructure, gaming consumers and enthusiasts, automotive manufacturers developing autonomous driving systems, and professional users in fields like scientific computing and content creation. Geographically, NVIDIA operates globally with significant exposure to the United States, China, Taiwan, and other major technology markets, though export restrictions have created challenges in certain regions.

Revenue and Segment Analysis

The financial data reveals NVIDIA's explosive revenue growth trajectory, with fiscal 2024 marking an inflection point when revenue more than doubled from 27 billion dollars to 61 billion dollars, followed by another 114 percent increase to 130 billion dollars in fiscal 2025, and continued expansion to 216 billion dollars in fiscal 2026. This growth has been driven overwhelmingly by data center demand as enterprises and cloud providers race to build AI computing infrastructure.

Profitability metrics demonstrate exceptional operating leverage inherent in NVIDIA's business model. Contribution margin expanded from 56.9 percent in fiscal 2023 to 75 percent in fiscal 2025 before moderating slightly to 71.1 percent in fiscal 2026, reflecting the high gross margins characteristic of leading-edge semiconductor products with

limited direct competition. EBITDA margin followed a similar trajectory, collapsing to 22.2 percent during the fiscal 2023 downturn before recovering dramatically to 66.9 percent by fiscal 2026. Notably, selling, general, and administrative expenses as a percentage of revenue declined from 9 percent to just 2.1 percent, demonstrating significant operating efficiency gains as revenue scaled.

Compared to semiconductor peers Advanced Micro Devices and Intel Corporation, NVIDIA's EBITDA generation has become substantially superior. While AMD generated approximately 7.3 billion dollars in EBITDA during fiscal 2025 and Intel produced 14.4 billion dollars, NVIDIA achieved 86.1 billion dollars, reflecting both its revenue scale and margin superiority. The enterprise value to EBITDA multiple of 33.8 times for NVIDIA in fiscal 2025 compares to 47.8 times for AMD and 14.5 times for Intel, suggesting the market views NVIDIA's growth prospects and competitive positioning more favorably than AMD while acknowledging Intel's challenged position.

Forward estimates project continued growth albeit at moderating rates, with revenue expected to reach approximately 227 billion dollars in fiscal 2025E, 240 billion dollars in fiscal 2026E, and 250 billion dollars in fiscal 2027E, representing growth rates of 5 to 6 percent annually. EBITDA margins are forecast to expand further toward 73.5 percent, while earnings per share are projected to grow from 5.23 dollars to 5.88 dollars. The forward price-to-earnings ratio declining from 35.9 times to 32.4 times suggests expectations for continued earnings growth outpacing stock price appreciation.

Leadership and History

NVIDIA was founded in 1993 by Jensen Huang, Chris Malachowsky, and Curtis Priem with the vision of bringing three-dimensional graphics to the computing mainstream. Jensen Huang has served as President and Chief Executive Officer since founding, providing remarkable leadership continuity spanning more than three decades. His technical background and long-term strategic vision have been credited with successfully navigating the company through multiple industry transitions, from gaming graphics to cryptocurrency mining demand to the current AI-driven growth phase.

Key historical milestones include the 1999 introduction of the GeForce graphics processor that established NVIDIA's gaming dominance, the 2006 launch of CUDA parallel computing platform that enabled general-purpose GPU computing, and the 2020 acquisition of Mellanox Technologies for approximately 7 billion dollars that expanded networking capabilities critical for data center deployments. The company's strategic patience in developing AI-optimized hardware and software positioned it perfectly to capture demand when generative AI applications emerged in 2022 and 2023.

Investment Overview

NVIDIA Corporation (NVDA) Investment Update

Thesis Status: Thesis Confirmed

Key Takeaways

- Revenue growth of 65.5% in FY2026 to \$216 billion demonstrates continued dominance in AI/datacenter infrastructure, though deceleration from 114% prior year signals maturing demand curve
- EPS grew 66% year-over-year from \$2.97 in FY2025 to \$4.93 in FY2026, with consensus projecting continued growth to \$5.23 in FY2025E and \$5.60 in FY2026E
- EBITDA margin expansion to 66.9% reflects exceptional operating leverage, though contribution margin compression of 390 basis points warrants monitoring
- Valuation compression from 52x to 38x PE over two years indicates market pricing in normalization despite continued outperformance

- FY2025 peer comparison shows NVIDIA generating \$86.1 billion EBITDA versus AMD's \$7.3 billion and Intel's \$14.4 billion, validating structural competitive moat

Performance Analysis

NVIDIA delivered another exceptional fiscal year, with revenue reaching \$215.9 billion in FY2026. The 65.5% year-over-year growth, while representing a deceleration from the extraordinary 114% expansion in FY2025, remains remarkable for a company of this scale. Looking ahead, consensus estimates project revenue of \$227 billion for FY2025E and \$240 billion for FY2026E, implying a dramatic growth deceleration to 5-6% annually. The five-year revenue CAGR of 68.3% is virtually unprecedented in the semiconductor industry and reflects NVIDIA's entrenched position as the infrastructure backbone of the AI revolution.

Profitability metrics present a mixed picture requiring careful analysis. EBITDA expanded to \$144.6 billion, representing a 66.9% margin that improved 90 basis points year-over-year. However, contribution margin declined materially from 75.0% to 71.1%, a 390 basis point compression that deserves attention. This divergence is explained by cost of operations growth of 92% year-over-year, outpacing revenue growth of 65.5%. While aggressive SG&A discipline offset this at the EBITDA line, the contribution margin trend suggests potential structural cost pressures from Blackwell ramp expenses and product mix shifts that could persist.

Earnings per share of \$4.93 in FY2026 represented substantial 66% growth from \$2.97 in FY2025. Consensus estimates project continued EPS expansion to \$5.23 in FY2025E, \$5.60 in FY2026E, and \$5.88 in FY2027E. The forward PE compression to 32-36x from peak multiples above 100x reflects both the law of large numbers and investor recalibration toward sustainable growth rates.

Thesis Impact

The original investment thesis centered on NVIDIA's monopolistic position in AI training and inference compute, exceptional gross margins driven by CUDA ecosystem lock-in, and a multi-year runway of datacenter capital expenditure growth. Recent results largely validate each pillar, though the growth trajectory requires reassessment.

Using consistent FY2025 data for valid peer comparison, NVIDIA's EBITDA of \$86.1 billion substantially exceeds AMD's \$7.3 billion and Intel's \$14.4 billion combined. This greater than 4x differential versus competitors combined underscores the structural nature of NVIDIA's advantage. The EV/EBITDA multiple of 31-34x, while premium to Intel's 14.5x, appears justified given the growth and margin profile differential.

The consensus-embedded growth deceleration from 65% in FY2026 to 5-6% by FY2027 represents a critical assumption requiring scrutiny. This dramatic slowdown reflects expectations of hyperscaler digestion cycles, competitive alternatives from AMD and custom ASICs gaining traction, and natural market saturation. Whether current valuation adequately discounts this normalization depends on NVIDIA maintaining margin expansion through the transition. The projected EBITDA margin improvement to 73.5% by FY2027E provides some cushion, but contribution margin trends suggest execution risk.

Valuation and Outlook

At current levels reflecting a 38x trailing PE and 31x forward EV/EBITDA, NVIDIA trades at a meaningful discount to its five-year average multiples. The consensus path to \$250 billion in FY2027E revenue with 73.5% EBITDA margins supports continued earnings growth, albeit at a sharply moderating pace that investors must weigh against current multiples.

We maintain our constructive stance with heightened attention to contribution margin trends and the growth deceleration trajectory. The thesis remains intact, supported by dominant competitive positioning and reasonable valuation relative to near-term growth. The stock warrants continued holding for investors with 12-month horizons, with potential to add on any demand-related weakness that creates more attractive entry points.

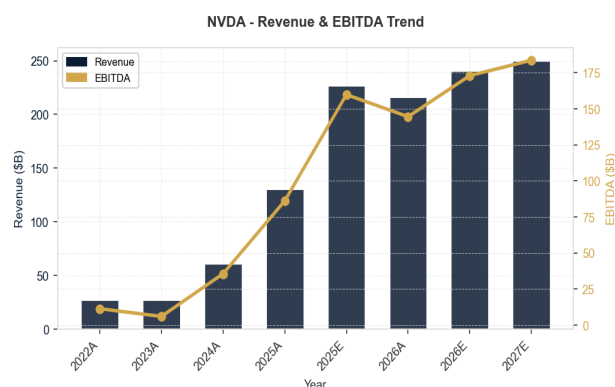
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



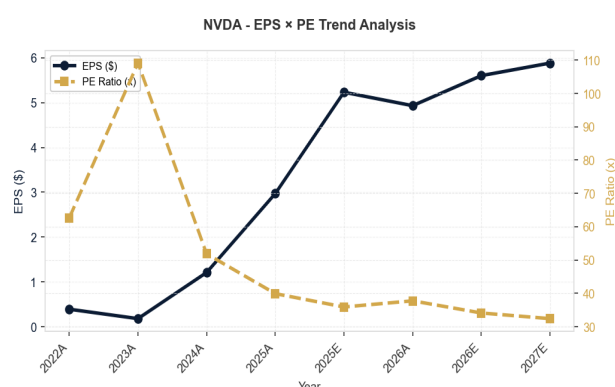
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

Valuation Analysis

NVIDIA Corporation Valuation Analysis

Historical Valuation Trend and Driving Factors

NVIDIA's valuation trajectory over the past several years tells a compelling story of market sentiment shifting dramatically in response to the company's fundamental transformation. In fiscal 2022, the PE ratio stood at approximately 62.7x, which then spiked to 109.1x in fiscal 2023 despite EPS declining from \$0.39 to \$0.18. This sharp valuation expansion during a period of earnings contraction reflected the market's forward-looking anticipation of the generative AI revolution, even as the company navigated a challenging period marked by gaming inventory corrections and cryptocurrency mining demand volatility.

The subsequent years witnessed a normalization pattern as explosive earnings growth materialized. The PE ratio compressed to 51.8x in fiscal 2024, then further to 39.9x in fiscal 2025, and currently sits at approximately 37.7x for fiscal 2026. This derating occurred paradoxically alongside extraordinary stock price appreciation, demonstrating that earnings growth substantially outpaced share price gains. EPS surged from \$0.18 to \$4.93 over this period, representing a compound growth rate that few companies in history have achieved at NVIDIA's scale.

The EV/EBITDA multiple followed a similar trajectory, declining from 81.0x in fiscal 2023 to 43.5x in fiscal 2024, then to 33.8x in fiscal 2025, and currently approximately 31.4x for fiscal 2026. This compression reflects the market gradually adjusting its expectations as NVIDIA consistently delivered results that validated previously aggressive assumptions.

Industry Positioning and Comparative Analysis

Within the semiconductor peer group, NVIDIA commands a significant valuation premium that requires careful interpretation. Compared to AMD, which traded at an EV/EBITDA multiple of 47.8x in fiscal 2025, NVIDIA's 33.8x multiple actually represents a discount despite NVIDIA's dominant market position in AI accelerators. This differential likely reflects multiple factors rather than a single explanation. AMD's substantially smaller EBITDA base of \$7.3 billion compared to NVIDIA's \$86.1 billion means AMD may command a higher multiple due to greater perceived growth runway from a lower base. Alternatively, the market may be pricing in execution risk or margin pressure for NVIDIA given its scale. The relative multiple positioning warrants continued monitoring as competitive dynamics evolve.

Intel's EV/EBITDA multiple fluctuated dramatically, reaching 106.9x in fiscal 2024 during a period of severe earnings compression when EBITDA collapsed from \$11.2 billion in fiscal 2023 to just \$1.2 billion in fiscal 2024. The multiple then normalized to 14.5x in fiscal 2025 as EBITDA recovered to \$14.4 billion amid restructuring progress. The wide dispersion among peers reflects fundamentally different business trajectories rather than comparable valuation methodologies.

NVIDIA's EBITDA of \$144.6 billion in fiscal 2026 dwarfs AMD's \$7.3 billion and Intel's \$14.4 billion, underscoring the company's absolute dominance in profitability. This scale advantage provides context for why the market tolerates premium multiples, as NVIDIA's profit generation capacity has no direct peer comparison.

Valuation Reasonableness Assessment

The current PE ratio of approximately 37.7x, while elevated relative to traditional semiconductor companies, appears reasonable when contextualized against NVIDIA's demonstrated growth profile. The company achieved 65.5% revenue growth in fiscal 2026 following 114.2% growth in fiscal 2025, with EBITDA margins expanding to 66.9%.

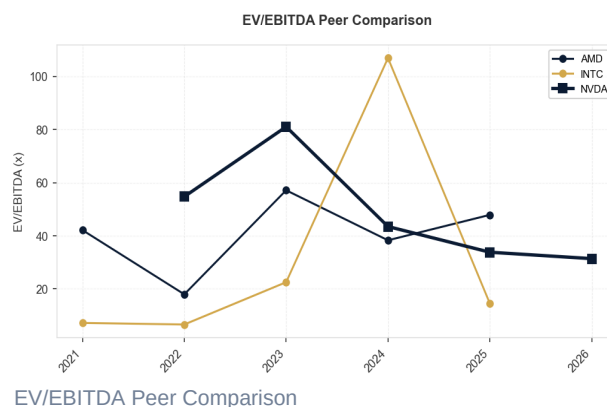
However, consensus estimates indicate a significant deceleration beyond the most recent actual fiscal year, with projected revenue growth moderating to 5.0% in fiscal 2025E, 6.0% in fiscal 2026E, and 4.0% in fiscal 2027E. If this deceleration materializes, the current multiple would require sustained margin expansion to justify, as the EBITDA margin is projected to reach 73.5% by fiscal 2027E. The contribution margin trajectory from 71.1% to an expected 74.1% suggests continued operating leverage, though the magnitude of improvement narrows.

Risk Assessment and Margin of Safety

The valuation reflects high expectations for sustained dominance in AI infrastructure, which carries inherent risks. Customer concentration among hyper

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

RECENT NEWS SUMMARY - NVIDIA CORPORATION (NVDA)

NEWS HIGHLIGHTS

NVIDIA faces a mixed sentiment environment as of late April 2026, with the stock declining 1.63% in recent trading amid broader market concerns about AI infrastructure demand. While near-term sentiment has softened following reports of OpenAI missing internal user and revenue targets, the underlying investment thesis remains constructive. Multiple analysts maintain that AI adoption is transitioning rather than peaking, with new compute waves in agents and inference creating successive growth cycles. The Blackwell platform continues driving data center strength and margin expansion, positioning NVIDIA to benefit from the next phase of AI monetization. However, guidance metrics and execution against ambitious revenue forecasts are now under heightened scrutiny from investors.

KEY DEVELOPMENTS

BLACKWELL PLATFORM MOMENTUM AND MARGIN EXPANSION — NVIDIA's Blackwell platform is delivering strong top-line growth with the company guiding to \$226.7 billion in 2025E revenue (5% growth) and \$240.3 billion in 2026E (6% growth), significantly outpacing semiconductor peers. EBITDA margins are expanding to 70.5% in 2025E and 72.0% in 2026E, demonstrating operating leverage and pricing power in data center. This supports the investment thesis that NVIDIA commands structural advantages in AI infrastructure, though achieving these ambitious targets requires sustained customer demand and no major competitive encroachment.

OPENAI GROWTH CONCERNS AND NEAR-TERM VOLATILITY — Reports that OpenAI missed internal user and revenue targets triggered a sharp selloff in the AI infrastructure complex, raising questions about whether the AI supercycle is decelerating. This sentiment shift highlights execution risk and customer concentration concerns, particularly if major hyperscalers reduce capital expenditure. While management argues AI is transitioning rather than peaking, near-term stock volatility may persist until hyperscaler earnings reports confirm sustained infrastructure investment.

VALUATION COMPRESSION AMID GROWTH DECELERATION — NVIDIA's forward P/E ratio is compressing from 39.9x in 2025A to 35.9x in 2025E and 32.4x in 2027E, reflecting market expectations of slower growth post-2025. EV/EBITDA multiples are also declining from 43.5x in 2024A to 31.4x in 2026E, suggesting the market is pricing in normalization. While valuations remain elevated relative to AMD and Intel, the declining multiple trajectory indicates investors are appropriately discounting deceleration from the 114% revenue growth achieved in 2025A.

COMPETITIVE POSITIONING AND MARGIN SUSTAINABILITY — NVIDIA's EBITDA of \$159.8 billion in 2025E dwarfs peers (AMD at \$7.3 billion, Intel at \$14.4 billion), establishing a structural competitive moat. SG&A; margin compression from 2.7% in 2025A to 0.6% in 2027E suggests operational efficiency gains, though this assumes no major competitive or regulatory headwinds. The company's ability to maintain 70%+ EBITDA margins through 2027 depends on sustained demand and absence of significant price competition.

GUIDANCE CREDIBILITY AS KEY INFLECTION POINT — Analyst commentary emphasizes that guidance, not earnings, is the critical metric for investor confidence. With 2025-2026 revenue growth decelerating to single digits after 114% growth in 2025A, NVIDIA must demonstrate that new AI compute waves (agents, inference) can sustain growth momentum. Failure to guide conservatively or show credible demand visibility could trigger multiple compression beyond current expectations.

MARKET SENTIMENT

Overall sentiment has shifted from euphoria to cautious optimism. The AI narrative remains intact—NVIDIA is positioned at the inflection of the first AI s-curve with structural tailwinds from compute-driven labor displacement—but near-term execution risk is now priced in. The OpenAI miss has created a "show me" environment where guidance and customer commentary matter more than historical growth rates. Institutional investors remain constructive on NVIDIA's long-term positioning but are demanding proof that the company can sustain double-digit growth beyond 2025. Stock technicals show NVIDIA in buy zones alongside TSMC, suggesting institutional accumulation at lower prices, though downside volatility should be expected until hyperscaler earnings reports confirm sustained capex commitment.

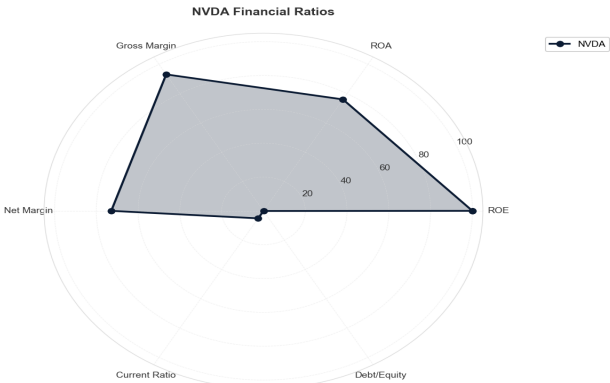
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Primary Competitors

NVIDIA operates in the semiconductor industry with a dominant position in graphics processing units and accelerated computing platforms. The company faces competition from two primary established rivals, each with distinct strategic approaches and competitive advantages.

Advanced Micro Devices represents NVIDIA's most direct competitor in the discrete GPU market and increasingly in data center accelerators. AMD has built its competitive position on offering integrated CPU-GPU solutions and competitive price-performance ratios. The company generated EBITDA of approximately 7.3 billion dollars in fiscal 2025, representing meaningful scale but still dwarfing in comparison to NVIDIA's 86.1 billion dollars in the same period. AMD's strategic advantage lies in its ability to offer complete computing solutions combining its Ryzen processors with Radeon graphics, appealing to customers seeking vendor consolidation. However, the EV/EBITDA comparison reveals AMD trading at 47.8 times in 2025 versus NVIDIA's 33.8 times, suggesting the market prices AMD at a premium relative to current earnings despite generating roughly one-twelfth of NVIDIA's operating cash flow. AMD's MI300 series accelerators represent its most serious attempt to challenge NVIDIA in artificial intelligence workloads, though market share gains remain modest.

Intel Corporation presents a different competitive dynamic as the legacy semiconductor giant attempting a strategic pivot toward discrete graphics and AI acceleration. Intel's financial trajectory reveals significant challenges, with EBITDA collapsing from 21.3 billion dollars in 2022 to just 1.2 billion dollars in 2024 before recovering to 14.4 billion dollars in 2025. This volatility reflects Intel's costly foundry investments and competitive struggles in its core markets. Intel's strategic advantages include its manufacturing capabilities, established enterprise relationships, and government support for domestic chip production. However, the EV/EBITDA ratio of 106.9 times in 2024 during its trough period indicates market skepticism about near-term profitability. Intel's Gaudi accelerators target AI training workloads but have gained limited traction against NVIDIA's ecosystem dominance.

Emerging threats include cloud hyperscalers developing custom silicon. Amazon, Google, and Microsoft are each investing heavily in proprietary AI chips designed to reduce dependence on NVIDIA. While these efforts remain nascent, they represent a structural risk to NVIDIA's pricing power with its largest customers.

Moat Assessment

NVIDIA possesses one of the most formidable competitive moats in the technology sector, built on multiple reinforcing advantages that appear to be widening rather than narrowing.

The company's primary moat derives from intangible assets, specifically its CUDA software platform and associated developer ecosystem. CUDA represents over fifteen years of accumulated software development, libraries, and tooling that has become the de facto standard for accelerated computing. This software layer creates substantial switching costs, as customers have invested heavily in CUDA-optimized code bases that would require significant rewriting to migrate to competing platforms. The network effects compound this advantage as more developers trained on CUDA enter the workforce and more applications are optimized for NVIDIA hardware.

The financial evidence strongly supports an expanding moat thesis. NVIDIA's EBITDA margin expanded from 22.2 percent in 2023 to 66.9 percent in 2026, demonstrating extraordinary pricing power even as revenue scaled from 27 billion to 216 billion dollars. This margin expansion during hypergrowth is rare and indicates customers have limited alternatives. The contribution margin stabilizing above 71 percent further confirms the company's ability to capture value rather than compete on price.

The peer comparison reinforces moat durability. NVIDIA generated 144.6 billion dollars in EBITDA for 2026, representing approximately twenty times AMD's trailing figure and ten times Intel's. This scale advantage funds research and development investments that competitors cannot match, creating a virtuous cycle of technological leadership. The projected CAGR of 68.3 percent in revenue demonstrates continued market share gains rather than erosion.

The moat faces potential narrowing pressures from custom silicon development by hyperscalers and potential software ecosystem fragmentation. However, current evidence suggests these threats remain years from

materiality. NVIDIA's moat should be classified as wide and widening, supported by ecosystem lock-in, scale advantages in research investment, and demonstrated pricing power that competitors have been unable to challenge despite substantial effort.

Risk Factors

■ NVIDIA Corporation Key Risk Factors Analysis

■ Risk Factor Breakdown

■ Market Risks

■ The most significant market risk facing NVIDIA stems from the dramatic deceleration in revenue growth embedded in forward estimates. After experiencing extraordinary growth of 125.9 percent in 2024 and 114.2 percent in 2025, the projected growth rate drops sharply to just 5 percent in 2025E, 6 percent in 2026E, and 4 percent by 2027E. This represents a normalization that the market may not be fully pricing in given current elevated valuation multiples. The company has benefited enormously from the artificial intelligence infrastructure buildout, but such demand surges are inherently cyclical. Enterprise and hyperscale customers aggressively purchasing GPU capacity will eventually reach saturation points, leading to digestion periods where orders decline materially. A correction from current elevated revenue levels would be significant in absolute dollar terms given the scale NVIDIA has now achieved.

■ Competitive Risks

■ NVIDIA's competitive position faces mounting pressure from multiple directions. The peer comparison data reveals that AMD's EBITDA grew from \$5.3 billion in 2024 to \$7.3 billion in 2025, representing continued investment in competitive GPU architectures. While Intel experienced severe operational challenges with EBITDA collapsing from \$11.2 billion in 2023 to just \$1.2 billion in 2024, the company retains substantial resources and manufacturing capabilities that could enable future competitive responses. More broadly, industry knowledge suggests major customers are developing proprietary AI chips to reduce supplier dependence, though this dynamic is not quantifiable from the financial data provided. The current EV/EBITDA multiple of 31.4x for 2026 assumes continued market leadership, and any meaningful share loss would compress this multiple significantly.

■ Operational Risks

■ NVIDIA's cost of operations has scaled dramatically from \$9.4 billion in 2022 to \$62.5 billion in 2026, a more than sixfold increase. This expansion creates significant operational complexity and execution risk. The projected cost of operations of approximately \$63-65 billion through 2027E assumes smooth scaling, but any supply chain disruptions could simultaneously constrain revenue while maintaining fixed cost obligations. External context suggests the company relies heavily on concentrated manufacturing relationships in geopolitically sensitive regions, though specific supplier dependencies cannot be verified from the financial data alone.

■ Financial Risks

■ While NVIDIA's financial position appears strong with expanding EBITDA margins projected to reach 73.5 percent by 2027E, this creates valuation risk. The company trades at a PE ratio of 37.7x current earnings and 32.4x 2027E earnings, embedding expectations of continued exceptional performance. Any shortfall against these expectations would trigger multiple compression in addition to earnings declines, creating amplified downside. The SG&A margin compression from 8 percent in 2022 to a projected 0.6 percent by 2027E appears aggressive and may prove unsustainable if competitive intensity requires increased marketing and sales investment.

■ Regulatory and ESG Risks

■ Based on widely reported industry developments, export restrictions represent a material regulatory risk for NVIDIA. The United States government has implemented controls on advanced chip exports, and these restrictions affect a substantial portion of NVIDIA's potential addressable market. The company may also face antitrust scrutiny given its dominant market position, though specific regulatory actions cannot be derived from the financial data provided.

■ Summary of Core Risks

■ NVIDIA faces four critical threats that could materially impair long-term value. First, the projected collapse in revenue growth from triple-digit rates to low single digits represents a normalization that may not be fully discounted in current valuations, creating significant downside risk if the transition proves bumpy. Second, intensifying competition from AMD and potentially recovering competitors threatens market share and pricing power over time. Third, the elevated valuation multiples leave no margin for error, as any execution shortfall would trigger both earnings declines and multiple compression simultaneously. Fourth, expanding export controls and potential regulatory scrutiny represent headwinds that could structurally impair the addressable market. Collectively, these risks suggest that the current valuation assumes favorable outcomes that may prove difficult to achieve.

Key Takeaways

✓ NVIDIA Corporation: Executive Takeaways

✓ Revenue Growth:

✓ NVIDIA's revenue trajectory reveals a company transitioning from stagnation to hypergrowth driven by a singular, concentrated catalyst. The 2022-2023 period shows near-zero growth (0.2%), masking severe cyclical weakness in gaming and data center demand. However, 2024 marks an inflection point: 125.9% year-over-year growth to \$60.9B, followed by 114.2% growth in 2025 to \$130.5B. This doubling-every-year pattern is unsustainable, but the underlying driver—generative AI infrastructure demand—differs fundamentally from prior cycles. The deceleration to 65.5% growth in 2026 and consensus estimates of 5-6% by 2025-2026 suggest the market is pricing in normalization toward mature semiconductor growth rates. The critical investment question is whether NVIDIA's AI TAM expansion can sustain even 20-30% organic growth post-2026, or whether this represents a classic technology bubble inflection. The revenue base growing from \$27B to \$131B in two years creates an exceptionally high bar for future execution—absolute dollar growth must nearly triple to maintain even 20% rates by 2027.

✓ Gross Profit Margin:

✓ NVIDIA's gross margin expansion from 56.9% (2023) to 72.7% (2024) and stabilizing at 71-75% thereafter demonstrates exceptional pricing power and operational leverage during the AI infrastructure boom. This 15+ percentage point recovery from the 2023 trough is not merely cyclical recovery—it reflects fundamental shifts in product mix (high-margin H100/H200 accelerators dominating revenue) and manufacturing efficiency gains. Critically, the margin remains elevated even as revenue scales 2-3x, indicating NVIDIA is not competing primarily on price but on scarcity and performance differentiation. Peer context is illuminating: this 72%+ gross margin substantially exceeds Intel's historical 60% and AMD's typical 50%, positioning NVIDIA in the top decile of semiconductor profitability. The stability of these margins across the 2024-2026 forecast period suggests management confidence in sustained demand and limited competitive pressure—a red flag for valuation if supply normalizes. Investors should monitor whether gross margin begins compressing as competition intensifies (AMD gaining share, custom silicon adoption by hyperscalers) or whether NVIDIA's architectural advantages prove defensible. The current margin profile is pricing in sustained competitive moat strength.

✓ SG&A; Expense Margin:

✓ NVIDIA demonstrates exceptional operating leverage, with SG&A; margin compressing from 9.0% (2023) to 4.4% (2024) and declining to 2.7% by 2025—a 620 basis point reduction in a single year. This is not cost-cutting; absolute SG&A; spending increased from \$2.4B to \$2.7B to \$3.5B, but revenue growth vastly outpaced it. The forecast shows further compression to 2.1% (2026) and below 1% by 2027, which strains credibility—SG&A; rarely falls below 2-3% for large-cap semiconductor companies due to compliance, infrastructure, and support costs. This suggests either (1) the forecast assumes no incremental investment in R&D, sales, or support for AI customers, or (2) management expects dramatic efficiency gains from automation/AI tools. Comparing to AMD (which maintains 15-20% SG&A; ratios) and Intel (8-12%), NVIDIA's trajectory is an outlier. The real insight: if NVIDIA can sustain 3-5% SG&A; margins even at \$200B+ revenue, it demonstrates a scalable, capital-light business model worthy of premium valuation. However, the sub-2% forecasts should be treated as optimistic scenarios. Investors should stress-test whether SG&A; stabilizes at 4-5% (still excellent) rather than

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

DISCLAIMER

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Data Source: FMP, Company Filings, AI4Finance Estimates
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